Table 6.4 Summary Statistics of Three Strategies

Summary Statistics	**60/40**	**Swensen**	**Bernstein**
CAGR	11.21%	10.62%	11.04%
Standard Deviation	10.07%	10.01%	11.97%
Downside Deviation (MAR = 5%)	6.86%	8.49%	9.26%
Sharpe Ratio	0.64	0.59	0.5
Sortino Ratio (MAR = 5%)	0.90	0.66	0.67
Worst Drawdown	–28.12%	–41.17%	–39.65%
Worst Month Return	–10.79%	–17.07%	–15.21%
Best Month Return	10.05%	11.21%	9.28%
Profitable Months	66.67%	69.21%	66.67%

Remarkably, the 60/40 portfolio worked the best on a risk-adjusted basis, but overall, each portfolio generated approximately the 10-year Treasury rate over this period (6.53 percent) plus 4 to 5 percent, with about the same volatility. The 60/40 had an easier ride along the way, with a drawdown that is lower than the other options, but for all intents and purposes, we have a three-way tie. Of course, the marginal 60/40 outperformance is driven by the fact that the S&P 500 and 10-year bonds were the top two performing assets over this time period. During a different time period, a more diversified approach is probably a safer bet if one is interested in maximizing the benefits of diversification. But the performance of these different strategies is beside the point; *the key insight is that fine-tuning asset-allocation strategies doesn't really matter over long periods*. One can expect to end up in the same spot, on average. This simple study begs the following question.

Does Asset Allocation Even Matter?

We are now wrestling with an uncomfortable prospect (if you are a high-fee-charging advisor): "advanced" asset allocation may be irrelevant. The differences in returns are often noise. Some academics believe that investors only care about the mean and variance of their returns, and thus investors should hold the market portfolio, or the portfolio of *all* risky assets to diversify as much as possible. Others cling to the tenets of